AQA

GCSE ECONOMICS
8136/2

Paper 2 How the Economy Works

Mark scheme

Predicted Paper – Advanced

Version: 1.0 Final

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

No student should be disadvantaged on the basis of their gender identity and/or how they refer to the gender identity of others in their exam responses.

A consistent use of 'they/them' as a singular and pronouns beyond 'she/her' or 'he/him' will be credited in exam responses in line with existing mark scheme criteria.

Further copies of this mark scheme are available from aqa.org.uk

Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

KEY LIST

01	B – Clear decrease in aggregate demand	**06**	B – 1.7%
02	A – Lower interest rates, Allow depreciation	**07**	B – Increased productive capacity
03	B – An expansionary fiscal policy during a boom	**08**	A – A deliberate policy to reduce unemployment during recession
04	A – A household earning £20,000 pays £2,000 VAT; a household earning £100,000 pays £5,000 VAT	**09**	D – Increase, Increase
05	A – A depreciation of the pound combined with rising global commodity prices	**10**	A – The balance of payments as a whole is approximately in balance

Qu	Part	Marking guidance	Total marks
11		State two examples of supply-side policies that could increase long-run productive capacity.	**2**

AO1a = 2

Possible answers include:

- investment in education and training
- investment in infrastructure
- cuts in income/corporation tax to improve incentives
- privatisation
- deregulation
- labour market reforms (reducing trade union power, cutting benefits)
- R&D subsidies / grants for innovation

One mark for each correct response.

Qu	Part	Marking guidance	Total marks
12		Explain what is meant by 'crowding out' in the context of government spending.	**2**

AO1 = 2

Marks	Description
2	Complete explanation of crowding out.
1	Partial explanation of crowding out.
0	Nothing written worthy of credit.

Possible answers include:

- where increased government borrowing raises interest rates, which reduces private sector investment and spending (2 marks)
- where government spending replaces private sector spending (1 mark)

Examples can support the answer but, alone, do not constitute understanding.

Qu	Part	Marking guidance	Total marks
13		Explain one role of the Bank of England in maintaining financial stability.	**2**

AO1 = 2

Marks	Description
2	Complete explanation of one role in financial stability.
1	Partial explanation of one role in financial stability.
0	Nothing written worthy of credit.

Possible answers include:

- lender of last resort – lending to banks facing short-term liquidity problems to prevent bank failures spreading
- regulation and supervision of banks via the Prudential Regulation Authority (PRA)
- monitoring systemic risks via the Financial Policy Committee (FPC)
- setting capital and liquidity requirements to reduce risk of bank failures

Note: This indicative content is not exhaustive.

Qu	Part	Marking guidance	Total marks
14	**1**	Using Table 1, calculate the annual rate of inflation at Q1 2024 to one decimal place.	**2**

AO2 = 2

Answer:

- (117.8 – 112.5) / 112.5 × 100 = 4.71... ≈ 4.7% (2 marks)
- answer not to 1 decimal place but otherwise correct, e.g. 5% (1 mark)
- for correct workings but incorrect final answer (1 mark)
- award 2 marks for correct answer (4.7%) even if no workings are shown.

Qu	Part	Marking guidance	Total marks
14	2	Explain one limitation of CPI as a measure of inflation.	2

AO1 = 2

Marks	Description
2	Complete explanation of one limitation of CPI.
1	Partial explanation of one limitation of CPI.
0	Nothing written worthy of credit.

Possible answers include:

- the basket of goods is based on the average household – may not reflect individual households' actual spending patterns
- excludes housing costs such as mortgage interest payments (RPI includes these)
- slow to reflect changes in consumer spending patterns and new products
- does not take account of quality changes in goods (hedonic issues)
- regional variations in inflation are hidden by a national average

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
15		Using Figure 1, analyse how a policy to reduce unemployment could potentially conflict with the objective of low and stable inflation.	6

AO2 = 2, AO3 = 4

Level	Marks	Description
3	5–6	A full analysis of the economic evidence, a well-developed and logical chain of reasoning.
2	3–4	An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.
1	1–2	Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.
0	0	Nothing written worthy of credit.

Possible answers include:

- expansionary fiscal policy (tax cuts, higher spending) boosts aggregate demand, reducing unemployment
- cutting interest rates increases borrowing and spending, lowering unemployment
- however, higher aggregate demand can cause demand-pull inflation if the economy is near full capacity
- tighter labour markets raise wages, raising firms' costs and contributing to cost-push inflation
- this is the classic short-run Phillips curve trade-off between unemployment and inflation
- governments may then need to raise interest rates or taxes to control inflation, undoing the effect on unemployment
- trade-off can be mitigated by supply-side policies that increase capacity and productivity simultaneously

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
16		State two policies that could be used to address the market failure caused by demerit goods.	2

AO1a = 2

Possible answers include:

- taxes on demerit goods (e.g. tobacco duty, sugar tax)
- regulation / laws (e.g. minimum age, advertising bans) (credit once)
- information campaigns / education (credit once)
- minimum prices (e.g. minimum unit price on alcohol)
- banning the good entirely

One mark for each correct response.

Qu	Part	Marking guidance	Total marks
17		Explain one impact on the UK government's budget of a prolonged recession.	2

AO1 = 2

Marks	Description
2	Complete explanation of one budget impact of a recession.
1	Partial explanation of one budget impact of a recession.
0	Nothing written worthy of credit.

Possible answers include:

- fall in tax revenue – lower income tax, VAT and corporation tax receipts as incomes, spending and profits fall
- rise in government spending – higher welfare payments to the unemployed (automatic stabilisers)

- widening budget deficit / increased government borrowing
- rising national debt over time – increasing future debt-servicing costs

Note: Other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
18		Explain one difference between a commercial bank and a building society.	2

AO1 = 2

Marks	Description
2	Complete explanation of one difference.
1	Partial explanation of one difference.
0	Nothing written worthy of credit.

Possible answers include:

- ownership – commercial banks are owned by shareholders and run for profit, while building societies are mutuals owned by their members
- focus – building societies traditionally specialise in mortgages and savings, while commercial banks offer a wider range of services
- profit motive – commercial banks maximise shareholder profit; building societies aim to offer better rates to members
- risk profile – building societies are typically more conservative with lower-risk lending than commercial banks

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
19	1	Using Table 2, calculate the budget balance as a percentage of government spending, to one decimal place. State whether it is a surplus or deficit.	2

AO2 = 2

Answer:

- budget balance = 1045 – 1180 = –135 (£ billions)
- (–135 / 1180) × 100 = –11.44... ≈ 11.4% (as a percentage of government spending)
- deficit
- award 2 marks for correct percentage (11.4%) with deficit identified
- award 1 mark for correct percentage without direction, or correct identification of deficit with incorrect percentage.

Qu	Part	Marking guidance	Total marks
19	2	Explain one reason why a government may accept a budget deficit during a recession.	2

AO1 = 2

Marks	Description
2	Complete explanation of one reason.
1	Partial explanation of one reason.
0	Nothing written worthy of credit.

Possible answers include:

- automatic stabilisers cause tax revenue to fall and welfare spending to rise, increasing deficit
- cutting spending during recession would worsen the downturn, causing higher unemployment
- expansionary fiscal policy is needed to boost aggregate demand and output
- borrowing costs may be low during recessions, making deficit financing affordable
- Keynesian view – deficit spending during recession can be repaid during recovery

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
20		On Figure 2, draw and label the effects on the exchange rate of a significant fall in UK interest rates relative to Eurozone interest rates.	3

AO2 = 3

Answer:

- correct drawing of original equilibrium but no further adjustment (max 1 mark)
- a leftward shift in demand for pounds with new equilibrium in addition to original equilibrium (max 2 marks)
- a leftward shift in demand (2 marks) – fully labelled showing fall in exchange rate (3 marks)
- no further marks for any shift in supply, even if labelled demand.

Lower relative UK rates reduce demand for the pound from foreign investors, causing depreciation.

Qu	Part	Marking guidance	Total marks
21		Using Figure 3, assess whether reducing the national debt should be a priority for the UK government.	9

AO2 = 3, AO3 = 6

Level	Marks	Description
3	7–9	A fully justified conclusion with sustained evaluation, which is coherent and relevant, with judgements supported by evidence. A full analysis of the economic evidence, a well-developed and logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; specialist language used throughout.
2	4–6	A partially justified conclusion with an evaluation, which is mostly coherent and relevant; judgements may not be fully supported by evidence. An incomplete analysis of the economic evidence; starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context; specialist language used mostly appropriately.
1	1–3	A basic conclusion or assertion may be present based on evaluative judgements supported by little or no evidence. Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; may use non-specialist language.
0	0	Nothing written worthy of credit.

Possible answers:

Reasons for prioritising debt reduction:

- reduces the burden on future taxpayers
- lower debt servicing costs free up resources for public services
- improves fiscal credibility and reduces risk of a debt crisis
- provides fiscal space to respond to future crises
- lower government borrowing may reduce 'crowding out'

Reasons against prioritising debt reduction:

- austerity measures to reduce debt can harm growth and increase unemployment

- borrowing to invest in infrastructure/education can boost long-run productivity and growth
- if interest rates are low, debt is cheap to service and may be manageable
- reducing debt may conflict with other objectives (growth, employment, public services)
- inflation gradually erodes the real value of debt
- UK has never defaulted – debt at 100% of GDP is high historically but not unique

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
22		Define the term 'current account of the balance of payments'.	**2**

AO1 = 2

Marks	Description
2	Complete definition of current account.
1	Partial definition of current account.
0	Nothing written worthy of credit.

Possible answers include:

- a record of a country's trade in goods and services, primary income (investment income) and secondary income (transfers) with the rest of the world (2 marks)
- imports and exports / trade with other countries (1 mark)

Qu	Part	Marking guidance	Total marks
23		Using Table 3 in Item A, calculate the UK current account balance for 2022 in £ billions. Tick (✓) one box to indicate whether it is in surplus or deficit.	**3**

AO2 = 3

Answer:

- (in £ bn): 825.6 – 893.4 – 22.5 – 15.2 = –105.5 (deficit) (allow minus sign) (3 marks)
- trade balance = 825.6 – 893.4 = –67.8 (1 mark) (must state deficit or negative sign)
- correct calculation of trade balance but incorrect treatment of primary/secondary income balance – max 2 marks
- correct workings but incorrect final figure or wrong direction – max 2 marks
- deficit must be ticked for full credit.

Qu	Part	Marking guidance	Total marks
24		Using Item A, explain two policies other than changing the exchange rate that the UK government could use to reduce the current account deficit.	6

AO2 = 6

Apply grid twice:

Marks	Description
3	A full and precise explanation applying economic concepts and issues.
2	A partial explanation applying economic concepts and issues but lacking detail.
1	Fragmented points made.
0	Nothing written worthy of credit.

Possible answers include:

- supply-side policies to improve the competitiveness of UK exports (e.g. investment in R&D, training, infrastructure)
- tariffs or quotas on imports (protectionist measures) to reduce import volumes
- contractionary fiscal policy to reduce aggregate demand and hence import spending
- contractionary monetary policy (higher interest rates) to reduce aggregate demand and imports
- subsidies or tax incentives to support UK exporters

Apply grid twice. Note: do NOT credit exchange rate changes as the question excludes these.

Qu	Part	Marking guidance	Total marks
25		Using Item B, analyse the possible consequences of globalisation for lower-skilled workers in the UK.	6

AO2 = 2, AO3 = 4

Level	Marks	Description
3	**5–6**	A full analysis of the economic evidence, a well-developed and logical chain of reasoning.
2	**3–4**	An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.
1	**1–2**	Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.
0	**0**	Nothing written worthy of credit.

Possible answers include:

- job losses as UK manufacturing has declined due to competition from lower-cost economies
- downward pressure on wages for lower-skilled workers as they compete in a global labour market
- structural unemployment as skills in declining industries become obsolete
- regional inequality – lower-skilled workers concentrated in areas hit hardest by deindustrialisation
- however, lower import prices benefit real incomes of lower-skilled workers as consumers
- new job opportunities may emerge in services/distribution/logistics
- retraining can help, but is costly and not always accessible to older workers

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
26		Using Item A and Item B and your own economic knowledge, discuss whether the benefits of globalisation for the UK outweigh the costs.	**15**

AO2 = 5, AO3 = 10

Level	Marks	Description
5	**13–15**	A justified conclusion with sustained evaluation, which is coherent and relevant, with judgements fully supported by evidence. Analysis of a relevant selection of the economic evidence, with a well-developed logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; effective use of specialist language maintained throughout.
4	**10–12**	A partially justified conclusion with an evaluation, which is mostly coherent and relevant; judgements may not be fully supported by evidence. Analysis of a relevant selection of the economic evidence; a logical chain of reasoning is established but not fully developed. Strong application of knowledge and understanding of a broad range of concepts/issues relevant to the context; mostly effective use of specialist language throughout.
3	**7–9**	A partially justified conclusion with an evaluation, but not integrated in a coherent way; judgements are not fully supported by evidence. Analysis of a relevant selection of the economic evidence and starts to develop a chain of reasoning. Good application of knowledge and understanding of a broad range of concepts/issues relevant to the context; consistent use of specialist language but not always effective.
2	**4–6**	A basic conclusion is present based on simple evaluative judgements supported by little or no evidence. Analysis of a relevant selection of the economic evidence with no chain of reasoning attempted. Simple application of knowledge and understanding of a narrow range of concepts/issues relevant to the context; sporadic use of specialist language.
1	**1–3**	Evaluative judgements are simple with no conclusion present. Analysis of a limited selection of the economic evidence with no chain of reasoning attempted; selection of evidence may lack relevance. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; uses non-specialist language.
0	**0**	Nothing written worthy of credit.

Possible benefits of globalisation for the UK:

- access to wider range of goods at lower prices for UK consumers
- larger export markets for UK businesses, particularly in services (finance, law, higher education)
- inward foreign direct investment creating UK jobs and bringing technology
- access to global supply of skilled labour
- specialisation according to comparative advantage raises efficiency
- transfer of technology and ideas, boosting UK productivity

Possible costs of globalisation for the UK:

- loss of UK manufacturing jobs, particularly low-skilled (Figure 4 shows sharp fall)
- downward pressure on wages in some sectors
- widening regional inequality – London and SE benefit more than Midlands/North
- persistent current account deficit as UK imports more than it exports (Item A)
- vulnerability to global shocks and disruptions to supply chains
- environmental costs from increased global transport
- concerns about tax avoidance by multinational companies

Possible evaluation:

- depends on how gains/losses are distributed – gains are often concentrated, losses spread differently
- long-term vs short-term perspective – long-run gains from specialisation vs short-run disruption
- depends on policy response – retraining, regional policy can help those who lose out
- depends on the sectors considered (services have gained, manufacturing has lost)
- persistent UK current account deficit raises questions about sustainability
- alternative is difficult – reversing globalisation would reduce consumer welfare and growth
- overall assessment likely to be that benefits have outweighed costs in aggregate, but losers require policy support

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.